

RE 410 Real Estate Finance – Lecture Discussion Questions

Lecture Topic After Tax Analysis

ASSIGNMENT SUMMARY

This assignment covers the topics from the lecture materials, that is, the powerpoint and recording.

Purpose: Completing these discussion questions will help reinforce the ideas and concepts presented in the lecture materials.

LECTURE DISCUSSION QUESTIONS

1. Write a potential exam question based on the material included in this lecture.
2. What is the difference between the property's before-tax cash flow (PBTCF), the equity before-tax cash flow (BTCF) and the equity after-tax cash flow (EATCF)? In valuing these cash flow streams, would it be reasonable to apply the same discount rate? If not, explain which discount rates would be highest, lowest, etc.
3. How does depreciation shield real estate investors from taxation?
4. Why is the distinction between operating expenses and capital expenditures an important one from the IRS perspective?
5. Previously, we said the investment value (IV) equals market value (MV) for the marginal investors for a property. Suppose the marginal investors that set market value are subject to income tax. Would you expect that an income tax exempt entity, such as a pension fund, would pay more, less or about the same price for the property? Explain in terms of IV and MV.